

► **IN THE EARLY** 1990s in a newly liberalised India, there were two very distinct sets of clients that hotel owners catered to: one, the polished, upscale customer who would put up at luxury properties like the Taj hotels; and two, the rest, who would be left to the mercy of often unorganised and inconsistent guest houses and budget hotels. That was until Patanjali G. Keswani (popularly called Patu Keswani) thought of a middle path.

What changed in the 1990s is that a larger set of consumers—India’s burgeoning middle class—started looking for better accommodation. “They were willing to spend and make a trade-off for better quality,” explains Keswani, Chairman & MD of Lemon Tree Hotels (LTH). “It was like an epiphany,” he recalls, adding that looking at the hotel stats then, he discovered that there were only 25,000 branded rooms in India, of which 20,000 were at 5-star properties. “It was a very inverted pyramid of demand. So, clearly there was a white space, but the question was how do you create a brand in the mid-market space?”

Keswani decided to do something that was refreshingly different. LTH opened its first property in Gurgaon (then called Gurgaon) in May 2004 with 49 rooms. Taking a cue from fresh lemons, the property mirrored the crisp and zesty essence of the citrus fruit in the sights, sounds and smells at every corner.

Keswani, an alumnus of IIT Delhi and IIM Calcutta, who worked with the Tata group for 17 years till he turned entrepreneur, had planned to build just one hotel, run it efficiently, and then take it easy and play golf and bridge. But fate had other plans.

“When we started, it [the hotel] was a pure mid-market product,” he says, adding that it was like a 3-star property with “4-star service levels”. But some customers who had upgraded from guest houses said it was too expensive, while some who had downgraded from 5-star properties said it was a step below what they were willing to trade off, he recalls. “So, we expanded both upwards and downwards,” says Keswani, 65.

④ Mid-scale hotels are receiving considerable investments, reshaping the hotel business

⑤ Lemon Tree owns and operates 101 hotels across 64 destinations, including Dubai and Bhutan

Resilient CEO

PATANJALI G. KESWANI

CHAIRMAN & MD, LEMON TREE HOTELS

Revenue from operations	FY23	875
	9MFY24	738.1
Profit before tax	FY23	178.2
	9MFY24	126.8
Profit after tax	FY23	140.5
	9MFY24	97.7
	FY23 RoE (%)	16.68
	Market Cap	11,226.1

● Data is on a consolidated basis; all figures in ₹ crore except RoE; 9MFY24: April-December 2023

● M-cap as of February 23, 2024

● **Source** ACE Equity, BSE

Today, LTH owns and operates 101 hotels across 64 destinations, including in Dubai and Bhutan and owns/leases/operates/franchises hotels across the upscale, upper-midscale, midscale, and economy segments. And among the Indian hotel chains, it is the third-largest in terms of the number of rooms. LTH has 9,707 rooms; IHCL—that operates the Taj hotels—tops the list with around 20,000 rooms, followed by ITC with around 12,000 rooms.

While LTH flourished, nothing could prepare the hospitality space for Covid-19. There were significant fluctuations over two years due to evolving travel restrictions and health risks. According to the Ministry of Tourism, the share of India’s travel and tourism industry in the country’s GDP declined from approximately 5.2% in FY20 to a mere 1.1% in FY21.

“For our sector, Covid-19 was like a nuclear bomb. Suddenly, your revenue dropped by 85%,” says Keswani, adding that when one talks of resilience it’s about an entrepreneur’s ability to withstand shocks. “[But] there are some events where no matter what you say, you can never plan,” says Keswani, the winner in the Resilient CEO category of the BT-PwC India’s Best CEOs ranking this year.

LTH has shown a remarkable recovery since those tough years. It posted consolidated profit after tax